

Venture Capital Webinar

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“Venture capital is the art of funding uncertainty; and the discipline of turning it into outcomes”

Who am I?

- **Education:**

- Ph.D. at Politecnico di Torino
- Visiting Ph.D. at MIT Sloan

- **Professional experiences:**

- Assistant Professor at Prague University
- Co-founder and CFO of a Startup with a social aim - [DIVHI](#)

- **Teaching and Research:**

- Entrepreneurship and Social Innovation



Speak | Parlo | Hablo

Fun fact: I was also a co-founder and the first president of a student association at Politecnico di Torino: SITPolito.

Equity Finance



Before we dive into the Venture Capital (VC) world, let's take a quick step back and **introduce equity finance**.

Equity finance is raising capital by **selling ownership shares**. Investors are rewarded mainly by selling their shares at later stages (e.g., at an exit). They can also earn dividends, but this is more common when a startup becomes mature and profitable.

Equity finance exists because it lets companies fund growth **without taking on debt**, and it lets investors share the risk and upside of the company's success.

Pre-money vs Post-money

- **Pre**-money = value before the investment
- **Post**-money = Pre-money + New investment

$$\text{Investor equity \%} = \frac{\text{New investment}}{\text{Post-money}}$$

Micro-example:

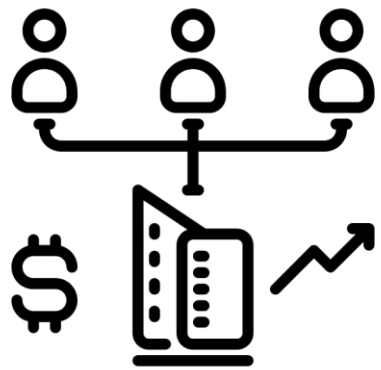
Pre-money: €40M + Invest €10M = Post-money: €50M → Investor gets 20%

Strategies to raise equity capital

- Family & Friends (FF)
- Equity crowdfunding
- Business Angels
- **Venture Capital**

In some cases, incubators or accelerators also invest (in exchange for equity).

Equity Crowdfunding



- Equity crowdfunding or crowd equity is the collective effort of individuals to support efforts initiated by other people or organizations through the provision of finance in exchange for **equity**.

For X\$ to receive Y% equity, etc...

Business Angels (BAs)

High net worth **individuals**, usually ex-entrepreneurs or ex-managers, who, in exchange for a (**minority**) percentage of equity, invest part of their capital in promising startups in which they have no family connections.

Video: <https://www.youtube.com/watch?v=sjxZM-MitHI>

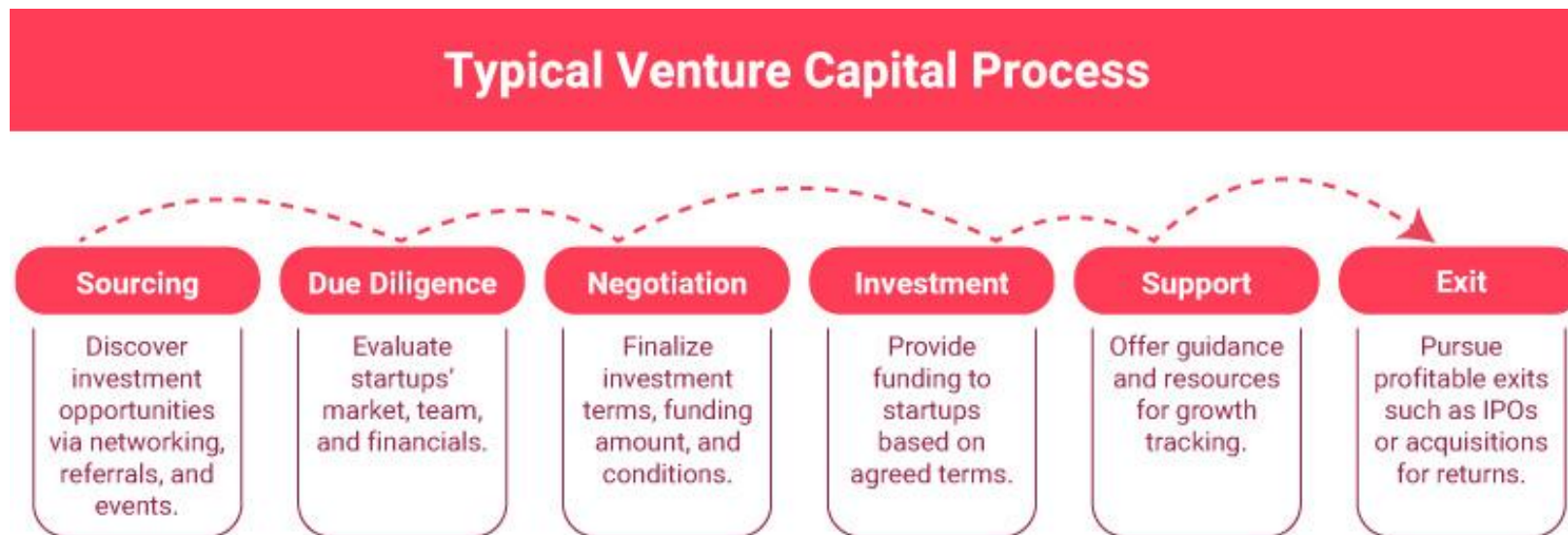


They often collaborate through **Business Angel Networks**.

Venture Capital

Venture Capital (VC)

Venture Capital (VC) is a form of private equity financing that is provided by **organizations** to startups. VCs invest in these early-stage companies in exchange for equity.



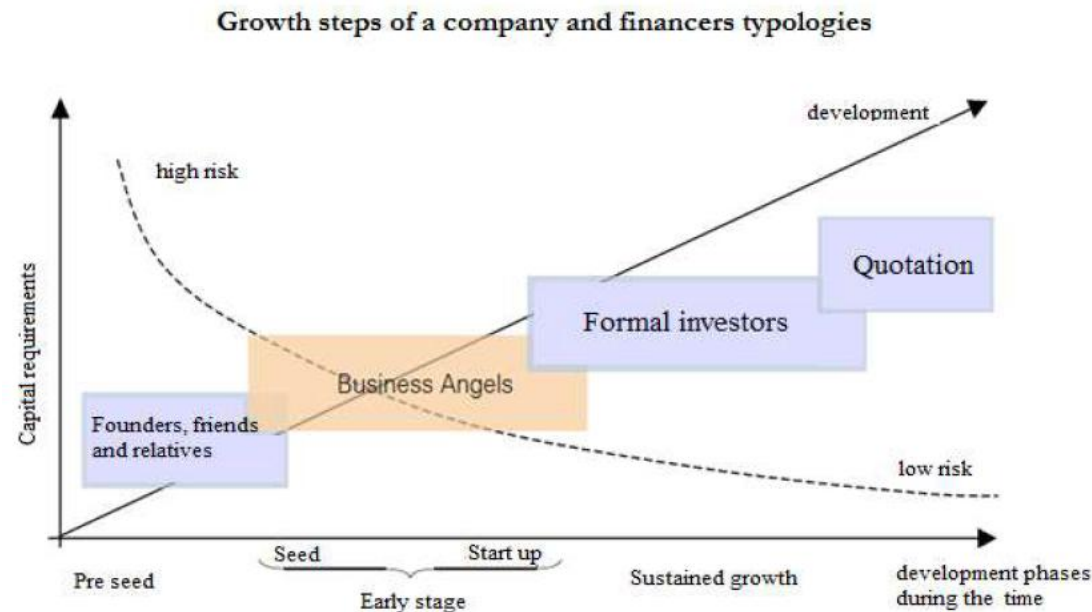
Where to find VCs

- **Events:** Dublin Tech Summit, SaaStock (Dublin), Demo days
- **Startup hubs & incubators:** e.g., NovaUCD, Dogpatch Labs
- **Databases:** Dealroom, Crunchbase, PitchBook
- Warm **intros** via “connectors”
- **Online scouting:** LinkedIn, VC newsletters

Helpful guide to VC in Ireland: <https://www.ivca.ie/wp-content/uploads/2020/03/Guide-to-VC-Edition-10.pdf>

BAs vs VCs

1. **BAs** are individuals, **VCs** are organizations
2. **BAs** invest less money, earlier-stage startups, less equity; **VCs** invest more money, late stage of startups, more equity
3. **VCs** invest money from different individuals/organizations, **BAs** invest their own money



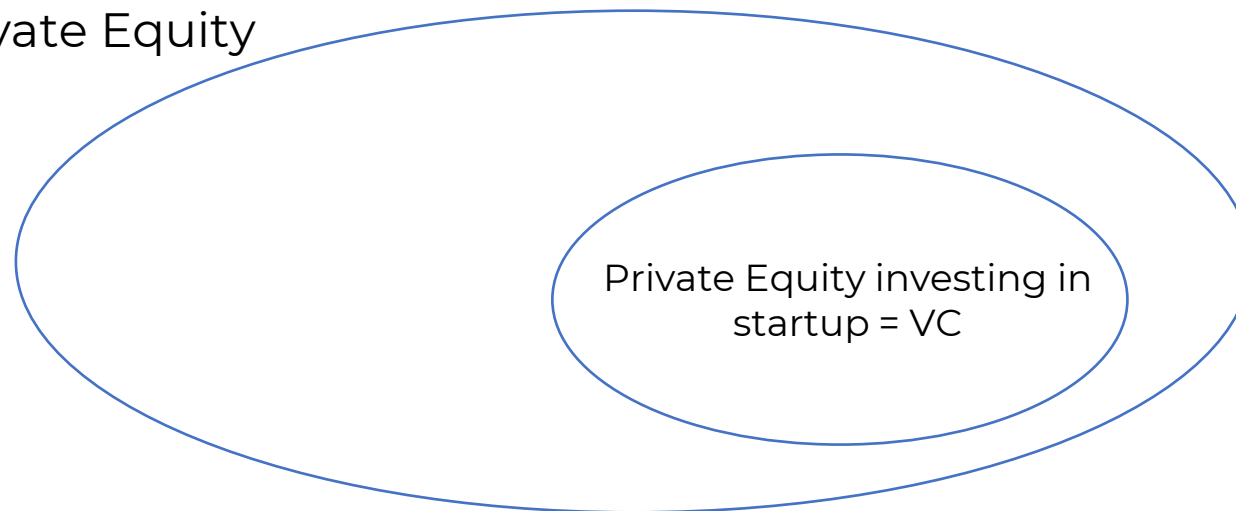
Private Equity Vs VCs

All VCs are private equity, but not all private equity is VC.

Private Equity refers to investors who take equity in exchange for an investment.

VC is a form of private equity investment that focuses on early stage, high growth businesses. Venture Capital firms specialize in these early-stage ventures and take on the higher risks in return for the opportunity of realizing huge gains.

Private Equity



Reminder



VCs are **not “friends”** of entrepreneurs, they are investors, and their goal is to generate returns.

One way to measure the return on an investment is ROI. **ROI = Return on Investment**

$$ROI = \left(\frac{\text{Final Value of Investment} - \text{Initial Investment}}{\text{Initial Investment}} \right) \times 100$$

VCs are interested in maximizing their ROI

Example:

You invest €10,000,000 in a startup for 15% equity.

In a later funding round, you sell your 15% stake for €15,000,000 after 3 years, which means:

$$ROI = \left(\frac{15,000,000 - 10,000,000}{10,000,000} \right) \times 100 \longrightarrow ROI = \left(\frac{5,000,000}{10,000,000} \right) \times 100 \longrightarrow ROI = 0.5 \times 100 = 50\%$$

IRR (Internal Rate of Return)



However, the same ROI can mean different things depending on the **time to exit**. To better understand investments, another important metric is **IRR (Internal Rate of Return)**.

IRR is the rate r that makes the Net Present Value (NPV) = 0:

$$0 = \sum_{t=0}^T \frac{CF_t}{(1+r)^t}$$

Where:

- CF_0 is usually negative (the investment)
- CF_t are the cash flows in each year/period
- r is the IRR

IRR Example 1



Simple case (one investment, one exit after T years).

*As in our previous example: you invest €10,000,000 in a startup for 15% equity. **Three years later**, you sell your 15% stake for €15,000,000, which means:*

$$IRR = \left(\frac{\text{Exit value}}{\text{Investment}} \right)^{\frac{1}{T}} - 1 \quad \longrightarrow \quad IRR = \left(\frac{15 \text{ million}}{10 \text{ million}} \right)^{\frac{1}{3}} - 1 \approx 14.47\%$$

IRR Example 2



Example (3 investments + 1 exit)

Investments	Cash flows (CF)
Year 0: invest €5M	CF Year 0: -€5M
Year 1: invest €3M	CF Year 1: -€3M
Year 2: invest €2M	CF Year 2: -€2M
Year 3: exit (sell shares) for €15M	CF Year 3: +€15M

IRR equation (general form applied)

$$0 = \sum_{t=0}^T \frac{CF_t}{(1+r)^t}$$

IRR Example 2

$$0 = \sum_{t=0}^T \frac{CF_t}{(1+r)^t}$$

$$0 = \frac{-5}{(1+r)^0} + \frac{-3}{(1+r)^1} + \frac{-2}{(1+r)^2} + \frac{15}{(1+r)^3}$$

$$0 = -5 - \frac{3}{(1+r)} - \frac{2}{(1+r)^2} + \frac{15}{(1+r)^3}$$

Then you test different values of r until you find the rate that satisfies the equation

IRR Example 2



With $r = 15\%$ $-5 - \frac{3}{1.15} - \frac{2}{1.15^2} + \frac{15}{1.15^3} \approx +0.7418$ **positive = rate is too low**

Let's try a **bigger r**

IRR Example 2



With $r = 19\%$ $-5 - \frac{3}{1.19} - \frac{2}{1.19^2} + \frac{15}{1.19^3} \approx -0.0321$ **negative = rate is too high**

But we are getting there! Let's try a **lower r**

IRR Example 2



With $r = 18\%$ $-5 - \frac{3}{1.18} - \frac{2}{1.18^2} + \frac{15}{1.18^3} \approx 0.1507$ **almost!!!**

Then, using $r=18.82\%$, the result is very close to 0. Therefore, **IRR=18.82%.**

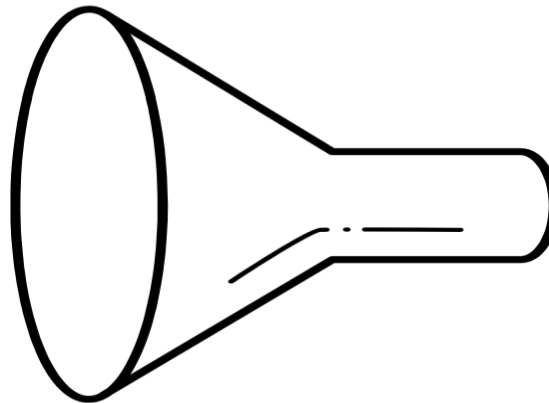
Interesting: both examples have ROI = 50%, but the IRR differs because the timing of the cash flows is different.

Unfortunately...

Most startups fail



VCs invest in many startups hoping that a few big winners will generate high returns and compensate for the losses from the failed investments.



Diversification & Portfolio Mindset



- **Diversification:** invest in many startups to increase the chance of finding winners
- **Portfolio construction:** spread bets across stages, sectors, geographies, teams

How VC Funds Work



VCs manage a fund: capital raised from Limited Partners (LPs)

They deploy capital during an **investment period** (typically 3–5 years) across a portfolio of startups.

Value is usually realized at **exit** (M&A, IPO, secondary sale) over a 7–10+ year fund lifecycle.

VC is a long-term game: the aim is outsized exits and capital gains, not quick dividends.

Exit routes (how returns become real)



- **M&A (acquisition)**
- **IPO: rare, but big outcomes**
- **Secondary sale: selling shares to another investor (later stage)**

Corporate Venture Capital (CVC)

Large companies have long sensed the potential value of investing in external startups.

Corporate Venture Capital is the practice of directly investing corporate funds into external startup companies.

Examples: Google Ventures; Intel Capital; Pfizer Ventures

VCs vs CVCs

- **VCs primarily pursue financial returns; CVCs primarily pursue strategic goals** (e.g., access to technology/markets)

Impact investing



Generally, investors have the expectation of achieving a **profit** (financial positive returns).



However, nowadays there are investors interested also in **social/environment (positive) returns** in addition to financial (positive) returns = **impact investors**

Nice reading: [Höchstädter et al., 2015](#); [Leborgne-Bonassié et al., 2019](#); [OECD 2019](#);

If you are interested in this topic, I suggest you follow:

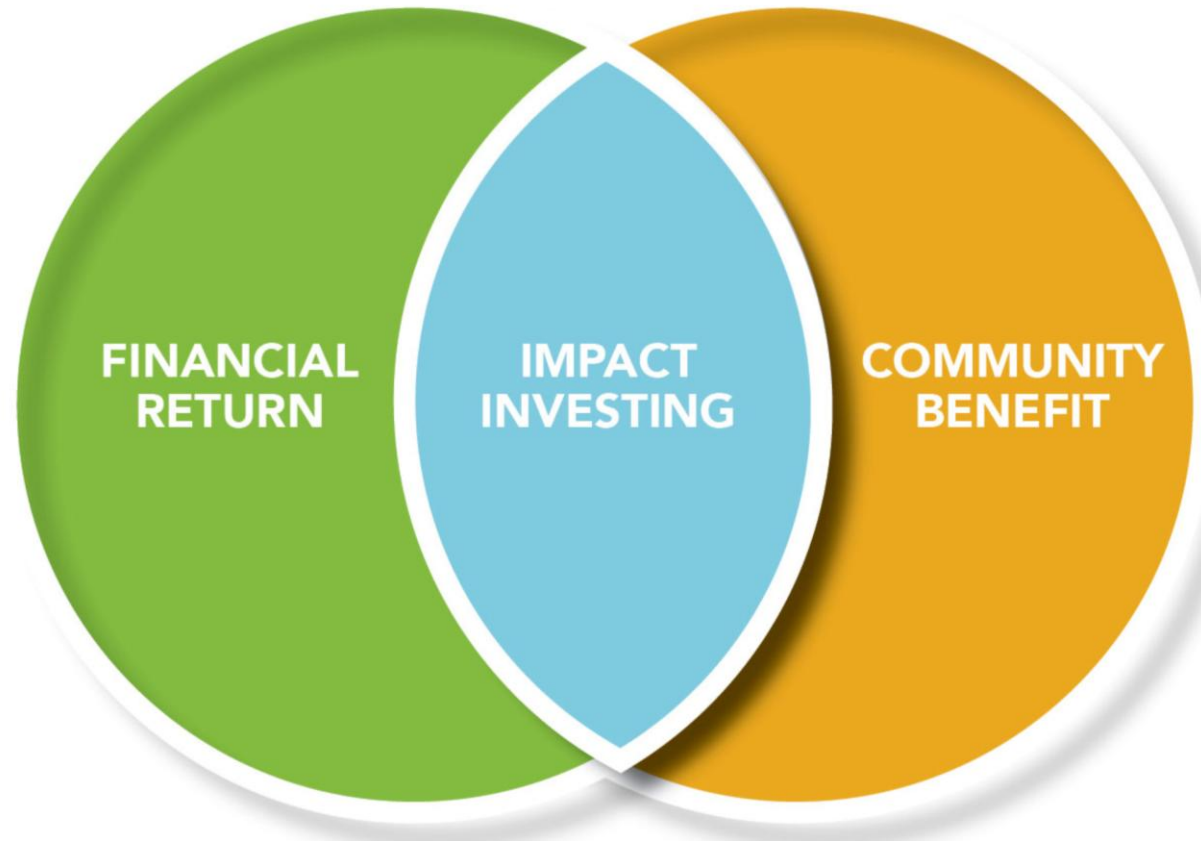
Global Impact Investing Network:
<https://thegiin.org/>



Impact Europe, Europe's impact finance network:
<https://www.impacteurope.net/>



Impact Investing



Impact VC



<https://www.youtube.com/watch?v=vSFqG0vqyXk>

How to measure social impact?

There are different ways. Here is one way:

$$\text{SROI} = (\text{Social Value Created} / \text{Investment Cost})$$

Social Value Created = Value of outcomes and impacts in Euro

Investment Cost = Sum of inputs in Euro

SROI=3 indicates that an investment of 1 Euro delivers 3 Euro of social value.

Social Value Created is what is difficult to quantify.

More information on SROI: <https://www.gsb.stanford.edu/faculty-research/case-studies/introduction-social-return-investment>

Entrepreneurial finance

Stages of investment

1. Pre-seed funding

- Stage: **Exploring**
- Startup Valuation: 10-500 K Euro
- Potential Investors: Teams + Family & Friends (FF)
- Fundraising: 10 - 100 K Euro



Pre-Seed Funding: Based on **human capital**, having a team with the necessary skills for the idea and market.

2. Seed funding

- Stage: **Launch product/service**
- Startup Valuation: 1-5 M Euro
- Potential Investors: FF + **BAs + Equity Crowdfunding** + Incubators
- Fundraising: 100 K - 3 M Euro



Seed Funding: Based on the validation of the idea in terms of customer demand (**problem/solution fit**), proof that users would buy the product if it existed.

3. Series A

- Stage: **Working business model**
- Startup Valuation: 10-30 M Euro
- Potential Investors: **VCs** + Banks + Companies
- Fundraising: 3 - 15 M Euro



Series A Funding: Based on business model validation (**product/market fit**), demonstrating recurring revenue and sustainable costs with the product or prototype.

4. Series B

- Stage: **Scale**
- Startup Valuation: 30-100 M Euro
- Potential Investors: **VCs** + Private Equity Firms + Banks + Corporations
- Fundraising: 15 - 30 M Euro

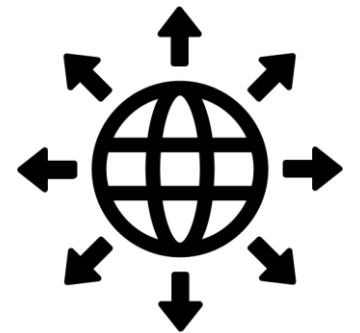
Series B: Based on **revenue**.



5. Series C and beyond

- Stage: **Expansion**
- Startup Valuation: 100- 500M Euro
- Potential Investors: **VCs** + Private Equity Firms + Banks + Corporations
- Fundraising: 30 - 100 M Euro

Series C and beyond: Based on **revenue and growth**.



6. IPO

- Stage: Consolidated and stable financial statements
- Startup Valuation: Depends
- Potential Investors: General Public
- Fundraising: 50 - 500 M Euro



Initial Public Offerings (IPO)

Initial public offering (IPO) or stock market launch is a type of public offering in which shares of a company are sold to institutional investors.

Similar to IPOs there are Initial Coin Offerings (ICOs) using cryptocurrencies.

Company	Amount (billion U.S. Dollars)	Year
Alibaba Group	21	2014
SoftBank Corp	21	2018
NTT Mobile	18	1998
Visa	17	2008
AIA	17	2010
ENEL spa	16	1999
Facebook (now Meta)	16	2012



Why some companies decide not to go for an IPO?

Why not IPO?

There are several reasons, the most common are:

1. **Loss of Control**
2. **Costs and Regulatory Compliance**
3. **Disclosure of Information**



Ticket size: Equity Crowdfunding, BAs, and VCs

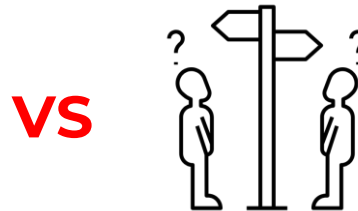
- **Equity Crowdfunding:** *Ticket size*: an individual usually invests between €300 and €2,000; *Ownership*: an equity-crowdfunding campaign typically offers between 5 % and 15 % of the company's equity; *Stage of investments*: mostly seed funding
- **BAs:** *Ticket size*: between 10,000 and 50,000 Euro; *Ownership*: between 5% and 15%; *Stage of investments*: mostly seed funding
- **VCs:** *Ticket size*: range from €1 million to €15 million; *Ownership*: between 15% and 25%; *Stage of investments*: mostly Series A, Series B, Series C, and beyond

The Founder's Dilemma

The Founder's Dilemma

An entrepreneur's choice **between**

Receiving funding and gaining access to an investor network, **but**
sacrificing some control and independence



Maintaining greater control and independence over their venture **but**
having less funding and no access to an investor network

To summarize

- Equity finance funds growth by selling ownership; different actors invest at different stages (friends & family, crowdfunding, business angels, VCs).
- Venture Capital is a form of private equity focused on high-growth startups; VCs aim for returns realized mainly at exit (M&A, IPO, secondary).
- VC returns are measured with ROI and IRR: ROI shows total gain, while IRR shows the annualized return and depends on timing of cash flows.
- Because most startups fail, VCs adopt a diversified portfolio mindset and rely on a few “winners” (power law) to generate outsized returns over a long fund lifecycle.

EU-INC: Can Europe become the new Silicon Valley?

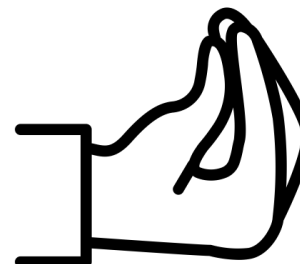


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More info at: <https://www.euronews.com/my-europe/2026/02/02/eu-inc-can-europe-become-the-new-silicon-valley>



Q&As



...and let's keep in touch!

For instance, feel free to connect with me on LinkedIn:



<https://www.linkedin.com/in/giuliano-sansone-573b368b/>